Meera Raghavan v. Coastline Builders Pvt. Ltd.

IN THE HIGH COURT OF JUDICATURE AT NORTHGATE
(Fictional case - created for software testing only)

Civil Appeal No. CIV-APP-2024-0417
Decided on: 14 March 2024
Coram: Hon'ble Justice A. K. Varma and Hon'ble Justice S. Iyer

FACTS
1. The appellant, Meera Raghavan, booked Flat No. B-704 in the "Harbour Heights" project of the respondent, Coastline Builders Pvt. Ltd., on 2 June 2018 for a total price of Rs 85,00,000. The agreement promised possession by 30 June 2020.
2. The appellant paid Rs 76,50,000 (90% of the price) by December 2019. Possession was not offered until 15 September 2023, a delay of more than three years.
3. The respondent blamed the delay on the COVID-19 lockdown and a shortage of construction workers. The State Consumer Commission awarded interest at 6% per annum for the delay. Both parties appealed.

ISSUES
(a) Whether the COVID-19 pandemic excuses the entire delay in handing over possession.
(b) What rate of compensation is fair for the delay.
(c) Whether the appellant can be forced to accept a car-parking space she never asked for at an extra cost of Rs 3,50,000.

ARGUMENTS
The appellant argued that construction had already stopped in 2019, before the pandemic, as shown by site photographs and the builder's own progress reports. The respondent argued that the force majeure clause (Clause 14) covers "epidemics and government restrictions".

HELD
1. The force majeure clause protects the builder only for the actual lockdown period. The Court allowed an extension of 6 months (25 March 2020 to 25 September 2020) and no more.
2. For the remaining delay of about 2 years and 9 months, the respondent must pay interest at 9% per annum on the amount paid, from 26 September 2020 until the date of the possession offer.
3. The charge of Rs 3,50,000 for the car-parking space is set aside as an unfair trade practice; the appellant may accept the space free of cost or decline it.
4. The respondent shall also pay Rs 1,00,000 as compensation for mental agony and Rs 50,000 towards litigation costs.

ORDER
The appeal of Meera Raghavan is partly allowed and the appeal of Coastline Builders Pvt. Ltd. is dismissed. All amounts shall be paid within 8 weeks, failing which they will carry further interest at 12% per annum.